

Adam Smith and Agriculture: The Political Economy of the ‘Unnatural and Retrograde’ Order Revisited

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ABSTRACT

This paper provides a reinterpretation of Adam Smith’s distinction between the natural and the unnatural and retrograde order of progress. In doing so, the paper explores Smith’s idea of the division of labour and its limitations; the agrarian assumptions underlying his political economy; the significance of transportation costs to his understanding of the effects of free trade; and his desire to see the customs and laws supporting primogeniture and entails undermined in Great Britain and throughout Europe.

KEYWORDS

Adam Smith; jealousy of trade; land reform; political economy; primogeniture; parental affection;

According to the natural course of things, therefore, the greater part of the capital of every growing society is, first, directed to agriculture, afterwards to manufactures, and last of all to foreign commerce. This order of things is so very natural, that in every society that had any territory, it has always, I believe, been in some degree observed. (...) But though this natural order of things must have taken place in some degree in every such society, it has, in all the modern states of Europe, been, in many respects, entirely inverted. The foreign commerce of some of their cities has introduced all their finer manufactures, or such as were fit for distant sale; and manufactures and foreign commerce together, have given birth to the principal improvements of agriculture. The manners and customs which the nature of their original government introduced, and which remained after that government was greatly altered, necessarily forced them into this unnatural and retrograde order.

One of the most striking aspects of the *Wealth of Nations* is undoubtedly the fact that the order of development that Adam Smith considered ‘so very natural’ did not correspond to the way in which the actual development of Europe’s commercial monarchies had occurred.¹ Despite being promoted by innate human propensities, the natural order of progress was not the historical norm. Only Britain’s northern American colonies conformed to the order prescribed by nature, with agriculture developing before manufacturing, but this was an exception to the general way in which modern civilisation had developed – an exception owing not a little to the knowledge and skill that the European settlers had brought with them across the Atlantic.² Nonetheless, the rapid growth of America in wealth and population served Smith well as a contrast to the comparatively slow progress of Europe. But given that this ‘natural course of things’ was not simply meant to indicate how a society *should* develop but purported to describe how a society actually *would* develop (provided it was left to itself), the question that inevitably

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arises is why Smith chose to build his analysis around a model of development that was seemingly so ill-suited to explain historical phenomena. In fact, the problem posed by Smith's juxtaposition of a natural and an actual order has been one of the major challenges for the interpretation of Smith's political economy, raising serious questions about the internal consistency of the *Wealth of Nations*, as well as posing problems for anyone attempting to understand Smith's historical thinking, his economic theory, and his politics.³

In the nineteenth century, one of the more sophisticated readers of Smith, J. E. Cliffe Leslie (1825–1882), argued that the post-Smithian dispute about the identity of political economy, principally revolving around the question whether it was a deductive or an inductive science, had largely arisen as a result of the ambiguous legacy of Smith's political economy, which in turn itself was a result of the conflicting influence exerted on Smith by the *a priori* reasoning of natural jurisprudence (and the Physiocrats) and the more historically sensitive, *a posteriori* approach adopted by Montesquieu. The prevailing perception that Smith was a doctrinaire defender of *laissez-faire* and self-interest on *a priori* principles was undoubtedly a distortion of Smith's actual beliefs, Leslie argued, but it was a misunderstanding that was abetted by the peculiar arrangement of the *Wealth of Nations* as well as Smith's unfortunate tendency to 'see in all his inductions the proofs of a complete code of nature – of a beneficent order of nature flowing from individual liberty and the natural desires and dispositions of men'.⁴

In the twentieth century, when the attempt was made to interpret Smith as a precursor of Marxian historical materialism by scholars such as Roy Pascal, Ronald Meek and Andrew Skinner, Smith's distinction between a natural and an actual order of development largely disappeared from view in the effort to turn Smith into something resembling an economic determinist.⁵ Crucially, Smith's story in Book III of how the power of the feudal barons was undermined by the unintended consequences of commerce was merged with Smith's conjectural history of property and government and was seen as providing the historical transition mechanism between the third and the final stage of his so-called 'four-stages theory'. In consequence, feudalism, despite being the primary cause of Europe's slow agricultural development, became associated with the agricultural stage, and Smith's notion of a 'commercial society' was equated with the fourth stage, the commercial stage, and recast in the image of Marx's analysis of capitalism. But as John Salter has observed, feudalism was not a 'stage' for Smith but a form of government, unconnected with any distinct mode of subsistence, and the transformation that commerce had engendered in modern Europe was not a transition to capitalism but simply the emergence of order and good government. Moreover, a commercial society was not so much an independent stage beyond agriculture on Smith's account; it represented a further development of the agricultural economy, at least ideally, one that did not entail a transition to 'capitalist' methods of production.⁶

In his criticism of the materialist interpretation of Smith, Salter was building on the growing body of Smith scholarship that had emerged since the bicentennial of the *Wealth of Nations* in 1976. Intellectual historians such as Duncan Forbes, Donald Winch and Knud Haakonssen had in various ways sought to challenge the materialist or economic view of Smith by excavating the normative or 'political' side of Smith's economic and jurisprudential thinking, taking seriously his claim that political economy was a branch of a more encompassing 'science of the statesman or legislator'.⁷ Any strongly

deterministic view of Smith could not be upheld when one considered, among other things, the role of contingency in his account of economic development as well as the multiplicity of motivations other than economic self-interest that he employed in his account of the origin and operation of a commercial society.⁸ In Haakonssen's judgement, all that one could say about Smith's supposed materialism was that 'certain broad, general conditions of an economic kind are necessary for certain broad, general kinds of social and political organization'.⁹ Smith's science of the legislator was therefore best seen not as a replacement of politics or political theory but as a guide to the legislator, demonstrating the complexity of the tasks and challenges that had to be faced without illusion.

As a result of this rejection of determinism, the question regarding the distinction between the natural and the actual order of development re-emerged into view. It was István Hont who addressed the problem most directly, insisting that a more unified understanding of Smith's 'science of the legislator', and especially the connection between his economic and political thought, could be uncovered 'if we pay more attention to his crucial distinction between the natural and actual paths of economic development'.¹⁰ This distinction was unique to Smith and had no real equivalent among the Physiocrats, Hont argued, and this difference was precisely what made Smith's politics so different from that of Quesnay and his school of *économistes*, despite the fact that they sought to address the same fundamental problem, that is, the problem of maintaining both national competitiveness and international peace in an environment increasingly characterised by inter-state rivalry and jealousy of trade. Both Smith and the Physiocrats, Hont maintained, agreed that the 'solid and lasting foundation of a nation's greatness must be its developed agriculture'.¹¹ Both, moreover, developed their ideas in relation to the jurisprudential theory of history embedded within the natural law discourse of the seventeenth century, a jurisprudential theory which saw property rights emerge historically through a series of stages, whose starting point was conceived by both Hugo Grotius and Samuel Pufendorf as a 'negative community' of goods, meaning that the earth originally belonged to anyone permissively.¹² God's grant of the earth to mankind in common (*Genesis* 1.28) was thus not the origin of private property, which only emerged to preserve peace and promote productivity once nature's abundance gave way to scarcity in consequence of the human propensity (and God's injunction) to multiply and replenish the earth. In this way, hunter-gathering was superseded by shepherding, which in turn gave way to settled agriculture as the most productive mode of food production. But while the Physiocrats took this idea of a natural order of progress as a direct guide to a positive reform programme, one that aimed at reversing the mercantile preference for foreign trade over agriculture, Smith warned that such an approach was excessively radical and prone to generate perverse results. However, by rejecting Quesnay's idea that trade and manufacturing were 'sterile' activities contributing nothing to the net wealth of the nation, Smith was able to identify and theorise a commercial 'stage' beyond agriculture and thus appreciate how progress had in fact occurred, albeit in a retrograde and unnatural fashion. The division of labour and increased specialisation in the manufacturing process meant that high wages could co-exist with low prices in manufactured goods, and the wealth that these goods generated through foreign trade benefitted agriculture indirectly by increasing the domestic demand for subsistence goods. Therefore, instead of forcing the economy into conformity with the natural path posited by natural jurisprudence, Smith's politics of transition

took the form of a negative reform programme, relying only on ‘freeing the actually developed unnatural European system from all restraints and preferential policies’.¹³ If this was done, Europe’s commercial progress would persist, and agriculture would continue to improve gradually in response to the development of manufacturing and trade.

Regrettably, Hont did not go into much detail regarding the specific assumptions that underpinned Smith’s faith in continued agricultural improvement. In particular, he neglected to specify why Smith believed that a system of natural liberty would lead to continued agricultural improvement in rich countries such as Britain, which had a competitive advantage especially in manufactured goods. This neglect is remarkable given that Hont also believed that Smith (as well as Hume) had ‘already grasped the basics’ of the principle of comparative advantage, which for the generation of economists coming after Smith provided a crucial part of the rationale for Britain becoming the workshop of the world and, concomitantly, a net importer of agricultural goods.¹⁴ If we accept that Smith’s critique of the agrarian bias of the Physiocrats was of paramount importance to his politics, then this should not lead us to neglect the importance of Smith’s own agrarian bias which, although it was less extreme, underpins the whole argument of the *Wealth of Nations*. In fact, it is only by understanding the agrarian assumptions of Smith’s political economy that we can properly understand Smith’s conviction that the British economy was gradually rebalancing itself in favour of agriculture and would continue to do so, *a fortiori*, if all the restraints and preferential policies of the mercantile system were abolished. Moreover, if the larger systemic intent of the *Wealth of Nations* was to provide a causal analysis and defence of commercial society, or of modern civilisation more generally, then we ought also to understand more fully why Smith attributed such importance to agricultural improvement and what role it played in addressing the threats to civilisation posed by international competition and jealousy of trade. In this regard, moreover, it should always be kept in mind that the *Wealth of Nations* was written before the widespread use of hydrocarbon fuels such as coal, oil and gas. The economic system that Smith sought to understand and describe was what the historian E. A. Wrigley has called an ‘organic economy’, meaning that all productive activity overwhelmingly derived its energy from vegetable and animal raw material.¹⁵ The wealth of nations, in other words, was fuelled by agriculture.

1. The division of labour and its limitations

The opening gambit of the *Wealth of Nations* was the famous example of the pin factory which illustrated the extraordinary labour-saving capability of dividing the manufacturing process into a series of simple operations, each of which requiring little knowledge or skill. By demonstrating the immense productivity increase generated by subdivided labour, Smith was able to provide robust answers to some of the most controversial issues of his time regarding the legitimacy and future viability of a commercial society. First, it explained how rising wages could co-exist with low prices in manufactured goods, and thus why rich nations could maintain a competitive advantage despite rising wage costs. As Smith wrote most succinctly in the *Early Draft*, in an opulent and commercial society ‘labour becomes dear and work cheap, and those two events, which vulgar prejudices and superficial reflection are apt to consider altogether

incompatible, are found by experience to be perfectly compatible'.¹⁶ Moreover, rather than making the labourer lazy, high wages were an encouragement to industry, animating the workman to be 'more active, diligent, and expeditious, than where they are low'.¹⁷ High wages were thus a sure sign of the wealth of a society, which in no way constituted a liability in terms of inferior competitiveness but rather encouraged the increase of population.

Secondly, the division of labour explained why a commercial society, in which those who laboured the most were often remunerated the least, was nevertheless a just society. In contrast to 'savage nations of hunters and fishers', Smith explained, a commercial society was much better able to ensure a sufficient supply of necessities and conveniences for the common worker.¹⁸ Despite great inequality and numerous people enjoying far more wealth without having to labour themselves, the common workman was much better off in a commercial society than he would have been in a more equal, yet wretchedly poor, primitive society. In fact, an industrious and frugal labourer could expect to enjoy a life many times superior to that of an 'African King', despite the latter being 'the absolute master of the lives and liberties of ten thousand naked savages'.¹⁹ On account of the division of labour, every person derived their income from exchanging goods and services to some extent.²⁰ A person's dinner, therefore, did not depend on the benevolence of a master. Moreover, the limited capacity of the human stomach, as Smith explained in his famous passage in *The Theory of Moral Sentiments* (1759), guaranteed that the rich could never deprive the poor of access to basic necessities. They were, as he wrote,

led by an invisible hand to make nearly the same distribution of the necessities of life, which would have been made, had the earth been divided into equal portions among all its inhabitants, and thus without intending it, without knowing it, advance the interest of society, and afford the means to the multiplication of the species.²¹

But although the division of labour in this way ensured the justice and competitiveness of a commercial society, Smith identified two significant limitations to its operation. First, the division of labour could not be applied in the same degree to agriculture. The reason for this was quite simple. In agriculture, the various tasks of cultivation necessarily changed with the seasons, rendering a serialised production process impracticable. This meant that 'the ploughman, the harrower, the sower of the seed, and the reaper of the corn, are often the same'.²² However, this limitation was in some ways appropriate since the work of cultivating the soil was best understood as an art rather than a task, an art intended 'not so much to increase (...) as to direct the fertility of nature towards the production of the plants most profitable to man'.²³ In consequence, the knowledge and skill required in agriculture were of a more tacit and elusive kind, much more dependent on 'judgement and discretion' than was the work of any manufacturer. In short, agriculture was largely impervious to both the serialisation and codification of its various tasks, and this imperviousness, Smith believed, was unlikely to change:

The innumerable volumes which have been written upon it [agriculture] in all languages, may satisfy us, that among the wisest and most learned nations, it has never been regarded as a matter very easily understood. And from all those volumes we shall in vain attempt to collect that knowledge of its various and complicated operations, which is commonly

possessed even by the common farmer; how contemptuously soever the very contemptible authors of some of them may sometimes affect to speak of him.²⁴

The productive power of labour was thus restricted in agriculture, and this explained to some extent why rich countries had a greater advantage over poor countries in manufacturing than they had in agricultural goods. Nonetheless, rich nations could still retain a competitive advantage in agriculture by applying a superior quantity of capital and quality of labour to cultivation. In reassuring register, Smith described the situation in the following terms:

The most opulent nations, indeed, generally excel all their neighbours in agriculture as well as in manufactures; but they are commonly more distinguished by their superiority in the latter than in the former. Their lands are in general better cultivated, and having more labour and expence bestowed upon them, produce more, in proportion to the extent and natural fertility of the ground. But this superiority of produce is seldom much more than in proportion to the superiority of labour and expence. In agriculture, the labour of the rich country is not always much more productive than that of the poor; or, at least, it is never so much more productive, as it commonly is in manufactures. The corn of the rich country, therefore, will not always, in the same degree of goodness, come cheaper to the market than that of the poor.²⁵

This passage has sometimes been read as if Smith was grasping at the notion of comparative advantage, a theoretical 'discovery' more commonly attributed to David Ricardo. As one recent commentator has put it, this is 'a comparative advantage statement which says absolute disadvantage does not exclude a country (here the poor country) from world markets because it does not inhibit her ability to compete with countries that have an absolute advantage'.²⁶ However, such an interpretation goes against the larger point that Smith was making. Smith was not recommending that Britain or any other rich nation should specialise in manufactured goods and rely on imports from poorer countries for a substantial part of its food. The crucial qualifier ('will not always') and the fact that Smith was referring to neighbouring countries rather than 'world markets' suggests that Smith was confident that free trade would not undermine a rich country's domestic agriculture. Only a few rich and populous countries without an extensive territory, such as the Dutch Republic, or city states such as Genoa, should be dependent on commerce to obtain basic agricultural goods, but this was more an argument from necessity than from comparative advantage.²⁷ Indeed, the fact that these societies were required to import food, often from distant places, was a precarious predicament rather than an advantage according to Smith. It meant that the price of corn would always be high and could potentially reach exorbitant levels and lead to famine if their trade was suddenly disrupted, causing a simultaneous glut of specie and a dearth of corn.²⁸ Large territorial monarchies, however, would ideally be mostly self-sufficient in food, relying on importation only to equalise harvest yields.²⁹ As Smith reassured his British readers, the 'small quantity of foreign corn imported even in times of the greatest scarcity, may satisfy our farmers that they can have nothing to fear from the freest importation'.³⁰

The main reason for this expectation is found in the second and most crucial limitation to the division of labour that Smith identified, namely, that it was limited by the extent of the market.³¹ And a major factor in determining the extent of the market was transportation costs, which in turn depended on the distance and mode of

transportation (water carriage being cheaper than land carriage) in combination with the bulk-value ratio of commodities. Gold and silver specie aside, the widest market was available to refined manufactures produced in proximity to navigable waterways. A narrower market was available to coarse manufactures, especially if these had to be hauled by land carriage. And the narrowest market was available to agricultural goods such as grain and livestock, principally on account of their big bulk-low value ratio. Live cattle, moreover, was one of the few (perhaps the only) commodities for which water carriage was more expensive than land carriage, and 'salt provisions', aside from being a bulky commodity, could never compete with fresh meat in quality.³² Free international trade would therefore have a highly differential impact on different sectors of the domestic economy.

Manufactures, those of the finer kind especially, are more easily transported from one country to another than corn or cattle. It is in the fetching and carrying manufactures, accordingly, that foreign trade is chiefly employed. In manufactures, a very small advantage will enable foreigners to undersell our own workmen, even in the home market. It will require a very great one to enable them to do so in the rude produce of the soil. If the free importation of foreign manufactures were permitted, several of the home manufactures would probably suffer, and some of them, perhaps, go to ruin altogether, and a considerable part of the stock and industry at present employed in them, would be forced to find out some other employment. But the freest importation of the rude produce of the soil could have no such effect upon the agriculture of the country.³³

Aside from constituting a natural barrier to foreign competition in foodstuffs, the cost of transportation also explained the various ways in which manufactures had emerged in the large monarchies of Europe. In places near water, manufacturing had often been introduced in consequence of foreign trade – as exemplified by the trade that first emerged with the rich city states of Italy. By importing refined goods, the people had gained a taste for luxuries, and as the domestic demand grew, the merchants, 'in order to save the expence of carriage, naturally endeavoured to establish some manufactures of the same kind in their own country'.³⁴

But this kind of cost-cutting, commercial emulation, although it was the predominant way in which manufacturing had arisen in Europe, was not the natural order of things. In fertile inland areas far from navigable rivers, however, the natural order had in fact taken place. Here, the surplus from agriculture would have quickly saturated the market on account of the high cost of transportation via land. This abundance would have lowered the price of food and thus attracted nearby workers and artisans to settle down and produce finer goods, first in exchange for food but soon, due to the superior bulk-value ratio of their products, in exchange for other manufactured goods from further away. In this way, a virtuous circle of balanced growth was set in motion between agriculture, manufacturing and trade, continuously encouraging the cultivation of the soil and gradually improving and refining the surplus into increasingly more valuable commodities that could better afford the expense of transportation.

The manufacturers first supply the neighbourhood, and afterwards, as their work improves and refines, more distant markets. For though neither the rude produce, nor even the coarse manufacture, could, without the greatest difficulty, support the expence of a considerable land carriage, the refined and improved manufacture easily may. In a small bulk it frequently contains the price of a great quantity of rude produce. A piece of fine cloth, for example, which weighs only eighty pounds, contains in it, the price, not only of eighty pounds

weight of wool, but sometimes of several thousand weight of corn, the maintenance of the different working people, and of their immediate employers. The corn, which could with difficulty have been carried abroad in its own shape, is in this manner virtually exported in that of the complete manufacture, and may easily be sent to the remotest corners of the world.³⁵

This expanding circle of market accessibility identified for Smith the natural and balanced way in which agriculture encouraged the establishment of manufacturing and foreign trade. And such had been the natural order of development in inland areas of England such as Leeds, Halifax, Sheffield, Birmingham and Wolverhampton.³⁶ In these places, manufacturing was properly 'the offspring of agriculture'. Or more precisely, it was the offspring of the surplus that agriculture naturally produced in a greater measure than any other employment of capital.

'No equal capital', Smith maintained, 'puts into motion a greater quantity of productive labour than that of the farmer'.³⁷ This statement might seem to contradict Smith's earlier statement that the productive power of labour was restricted in agriculture on account of the limited application of the division of labour. But the explanation for these two seemingly opposing statements is, remarkably, the same. Just as the division of labour is limited in agriculture because the art of cultivation depends on the co-operation of nature, so too is agriculture the most productive employment of capital because the co-operation of nature adds value to the product at no expense. In agriculture, Smith maintained, 'nature labours along with man' and 'its produce has its value, as well as that of the most expensive workman'.³⁸ When Smith spoke of productive labour, he was thus using 'labour' in a non-anthropocentric sense, which included both the animals used by the cultivator and, most importantly, nature itself. For this reason, the

capital employed in agriculture, therefore, not only puts into motion a greater quantity of productive labour than any equal capital employed in manufactures, but in proportion too to the quantity of productive labour which it employs, it adds a much greater value to the annual produce of the land and labour of the country, to the real wealth and revenue of its inhabitants. Of all the ways in which a capital can be employed, it is by far the most advantageous to the society.³⁹

And since it is the contribution of nature that renders agriculture the most productive employment of capital, it becomes clear why this does not in any way surpass or contradict the fact that rich countries are disproportionally more competitive in manufacturing than in agriculture.⁴⁰ After all, the factor that makes agriculture so productive, nature, belongs to no country exclusively and thus cannot be said to impart any special advantage on any one country, at least not beyond the differences in the natural and improved fertility of the soil.

Agriculture thereby yielded a surplus above the necessary remuneration of the capital and human labour involved in cultivation, a surplus that allowed the tenant farmer to pay a rent to the landlord. Smith estimated this surplus to be somewhere between a fourth and a third of the agricultural produce in contemporary Britain, yet the rent paid for the use of land did not necessarily correspond to this surplus and the improvements laid out by the landlord. Given the natural scarcity of land, rent was essentially a monopoly price and therefore proportioned to what the farmer could afford to pay rather than to any just remuneration of the landlord.⁴¹ If the demand for corn increased, the

surplus profit would often be absorbed into the rent, and so too would any improvements made by the tenant.⁴² Because of this monopoly aspect, the rent of land operated according to other economic laws than wages or profit in relation to the determination of prices. Whereas the latter were the causes of the high or low price of commodities, the rent of land rose and fell in consequence of the high or low price of the produce of the land.⁴³ One implication of this was that land rents varied not only according to the fertility of the soil but also according to its location. Due to the high cost of transportation, land situated near a town, and thus within proximity of consumers, could command a higher rent than equally fertile land further away in the countryside, regardless of the effort of the landlord.⁴⁴

In general, there is a distinct air of injustice in Smith's discussion of rent. Although it does not compromise the overall legitimacy of a commercial society, the economic position of the landlord is often judged negatively by Smith due to his income being largely an unearned residual brought about by the interplay of market forces, the contribution of nature and the specific institutional organisation of modern society. 'As soon as the land of any country has all become private property', Smith disparagingly stated, 'the landlords, like all other men, love to reap where they never sowed, and demand a rent even for its natural produce'.⁴⁵ However, from a historical point of view the share of the produce going to the landlord in the form of rent, although it had risen manyfold in absolute terms since the time of feudalism, tended to diminish in proportion to the whole produce as agriculture improved.⁴⁶ At least proportionally, then, the inequity was somewhat mitigated by the progress of society. Simultaneously, however, the purchasing power of this diminished proportion tended to rise with the progress of society as well. As manufactured goods became cheaper, the rent of the landlord indirectly became more valuable in relation to the goods it could purchase, and this tendency of rent to increase both in absolute and real terms meant that the interest of the landlord was 'inseparably connected with the general interest of society'.⁴⁷ Unlike merchants and manufacturers, whose profits tended to fall with the progress of society, the landlords thus had no interest in deceiving the public into promoting their private interests against that of society in general. Yet they were often unaware of what their real interests were because their income 'costs them neither labour nor care, but comes to them, as it were, of its own accord, and independent of any plan or project of their own'.⁴⁸

2. The land tax

Notwithstanding this deficiency in knowledge, the landlords had in fact derived a considerable economic benefit from the fact that the land tax had been fixed (4s to the pound) to the 'very loose and inaccurate' valuation established shortly after the Glorious Revolution (in 1692).⁴⁹ Because of this fixed valuation, the present-day land tax did not at all reflect the substantial increase in rents that had occurred throughout Britain since then. It therefore violated Smith's first maxim (out of four) regarding taxation, which stated that citizens should 'contribute towards the support of the government, as nearly as possible, in proportion to their respective abilities'.⁵⁰ To remedy this situation, Smith proposed a superior land tax that varied in proportion to the rent of land, provided that such a tax avoided violating the second, third and fourth maxims, that is, that the tax

should be as certain as possible and neither too expensive to administer nor discouraging of productive activity. This would require a system of evaluation to discover 'the actual value of lands'.⁵¹ Rent-rolls would have to be published in a public register, possibly in lieu of a penalty, and a frequent re-valuation of land owned by the cultivator would have to be undertaken through an equitable estimation process, ideally based on the arbitration of neighbouring landlords as well as revenue officers, allowing also for the indemnification of any improvements made to the soil.⁵²

Such a system, which Smith loosely based on a Venetian model, would establish an approximately ideal tax, conforming to all four maxims of taxation. It would be more costly to administer, but less so compared to other taxes, especially in relation to the revenue it would generate, and it would not only avoid discouraging agriculture but actively encourage it, principally by giving landlords and farmers the necessary security in receiving their just rewards for their industry and improvements, but also by being self-adjusting to any given state of society, regardless of whether agriculture was improving or declining. 'It is of importance that the landlord should be encouraged to cultivate a part of his own land'.⁵³ If such a variable tax was established as a 'perpetual and unalterable regulation', as opposed to a tax levied 'according to a certain valuation', it would be appropriate as a 'fundamental law of the commonwealth'. As such, it had the potential to greatly augment the revenue of Great Britain, especially if the tithe was also abolished.⁵⁴ Most importantly, however, since the tax was isolated on the residual value as best possible, the incidence of taxation would fall entirely on the landlord as a deduction of his rent. If the tenant paid the tax, he would pay 'just so much less rent'.⁵⁵ And as much as this was the case with agricultural land, it applied even more so to the rent of urban land, that is, ground rent, which owed its existence entirely to the order and good government of society.⁵⁶

Both ground-rents and the ordinary rent of land are a species of revenue which the owner, in many cases, enjoys without any care or attention of his own. Though a great part of this revenue should be taken from him in order to defray the expences of the state, no discouragement will thereby be given to any sort of industry. The annual produce of the land and labour of the society, the real wealth and revenue of the great body of the people, might be the same after such a tax as before. Ground-rents, and the ordinary rent of land, are, therefore, perhaps, the species of revenue which can best bear to have a peculiar tax imposed upon them.⁵⁷

But although the advantages of such a land tax were plentiful, Smith was careful to debunk the exaggerated claims advanced by the Physiocrats in support of their similar *impôt unique*. To expect, as the Physiocrats did, that a proportional tax on the rent of land could suffice to replace all other taxes and still reduce the public debt was far from realistic.⁵⁸ In more ancient times, the rent of public land, such as the crown lands, had indeed supplied the greater part of the sovereign's revenue, and in modern Bengal the public revenue still arose chiefly from land-rent.⁵⁹ In a developed commercial society, however, the entire rent of all land, public as well as private, would hardly suffice. In Great Britain, the ordinary tax revenue amounted to more than £10 million per annum, while the existing land tax raised less than £2 million.⁶⁰ The total value of the rent of all land was estimated, Smith cautiously stated, at roughly £20 million, yet this value was largely a reflection of the fact that land was mostly managed privately. To tax it too much, as if to render it equivalent to crown land, was highly likely to entail

a drastic reduction in rent due to worse management. The Physiocratic hope that a single tax on land would encourage agriculture by rendering the sovereign co-proprietor of all land was thus highly questionable, since the interest of the sovereign was necessarily 'general and vague' as opposed to the direct interest that someone closer to the ground would have. 'No incitement to the attention of the sovereign', Smith warned, 'can ever counterbalance the smallest discouragement to that of the landlord'.⁶¹ There was thus a limit to how much revenue it could generate, a limit imposed by the imperative to always error on the side of the landlord, whose direct care and attention had to be protected at all costs, principally by allowing the conditions of indemnity for improvements to be in his favour.⁶² Howsoever contrived, a land tax was thus not a panacea for the financial rectification of Europe's indebted monarchies.

Aside from a reduction of expenses, then, the only sure way drastically to augment the public revenue and address Britain's severe debt burden was to expand the tax-base. This could be done by incorporating all of Britain's colonies of either British or European descent into a 'states-general of the British Empire', thereby completing the empire, which had hitherto been merely an expensive 'project' in the interest of merchants.⁶³ In exchange for equal representation, the North American colonies, the West Indies and potentially Ireland could legitimately be subjected to British taxes, which was also 'not unjust' since Britain's spiralling debt had largely been contracted 'in the defence, not of Great Britain alone, but of all the different provinces of the empire'.⁶⁴ Both Ireland and America, moreover, were especially suitable to a land-tax, since in neither country were the landlords burdened with either church tithes or a poor rate. In America, however, most land was owned by peasant proprietors and could therefore not be 'assessed according to any rent-roll'. To address this situation, Smith proposed that the

lands in America might be assessed either in the same manner [as in Britain], or according to an equitable valuation in consequence of an accurate survey, like that which was lately made in the Milanese, and in the dominions of Austria, Prussia, and Sardinia.⁶⁵

Another source of revenue, potentially the largest yet considered, was in the new British territories in India, acquired by the East India Company but undoubtedly the 'right of the crown, that is, of the state and people of Great Britain'. These territories were probably sufficiently taxed, Smith argued, but through 'embezzlement and misapplication' so much of the revenue was presently lost.⁶⁶

India aside, Smith of course knew that his proposal for a consolidation of empire across the Atlantic was highly unlikely to be implemented, not least given 'the present disturbances' in America.⁶⁷ But the idea functioned to highlight the only form of empire that would be beneficial to both Great Britain and her colonies as well as to illustrate the drastic measures that would be required to deal with the growing debt burden. Moreover, a union with Ireland alone would likely have the positive outcome of delivering its largely Catholic population from the oppression of an onerous aristocracy by removing not only trade restrictions but also the hated penal laws – much like the way heritable jurisdictions had been abolished in Scotland after the Jacobite Rebellion of 1745.⁶⁸ Nonetheless, despite the speculative nature of this bold proposal, it conformed to the role that Smith reserved for the sovereign, that of creating the general legal framework under which the people could thrive by working to better their own condition, whether they be landlords, farmers, manufacturers, merchants or labourers.

3. General and local knowledge

As Knud Haakonssen has observed, Smith's contrast between the general knowledge of rulers and the local knowledge of individuals is a recurring theme in the *Wealth of Nations* and also informs Smith's criticism in the *Theory of Moral Sentiments* of the 'men of system', who tend to forget that 'in the great chess-board of human society, every single piece has a principle of motion of its own, altogether different from that which the legislature might chuse [*sic*] to impress upon it'.⁶⁹ In relation to the Physiocrats, whom Smith undoubtedly included among the 'men of system', this distinction between different levels of knowledge is key to understanding not only Smith's reservations about the *impôt unique* but also his larger reform programme of moving towards a system of natural liberty and a more natural order of development, which in contrast relied on activating the local knowledge and interest of individuals rather than on rousing the attention of the sovereign.

In general, Smith had a consistent aversion towards any economic endeavour in which ownership and management were separated, an aversion that was proportional to the degree of separation and the consequent disproportionality between effort and reward that this often entailed. The above-mentioned case of state (co-)ownership of land constitutes only one of the clearest examples of this, rendered even more problematic if the state in question was a mercantile monopoly enterprise such as the East India Company.⁷⁰ Other examples include private joint-stock companies, which lacked the 'anxious vigilance' exhibited by simple co-partnerships, as well as endowed schools and colleges, whose teachers tended to neglect their duties insofar as their income 'derived from a fund altogether independent of their success and reputation'.⁷¹ Even independent merchants were not immune to this dulling of their diligence if the profit rate was too high, which it frequently was in consequence of the monopolies and bounties of the mercantile system. Of all the detrimental effects of the mercantile system, Smith argued, the most nefarious was perhaps the tendency of high profits to 'destroy that parsimony which in other circumstances is natural to the character of the merchant'.⁷² In all of these cases, society suffered a productivity loss on account of the ease with which an income was procured, an ease that only produced idleness, inattention and profligacy in the individual.

The other side of the equation was represented by slavery, which was perhaps the most extreme and nefarious separation between ownership and management, between effort and reward, and which in consequence produced only an all too understandable idleness in the enslaved worker.⁷³ A similar idleness was produced by the institution of long apprenticeships, during which the 'whole labour of the apprentice belongs to the master'.⁷⁴ Aside from being 'altogether unnecessary', the absence of good incentives meant that long apprenticeships had 'no tendency to form young people to industry'.⁷⁵

The importance of matching effort to reward by means of the right kind of institutions, institutions that placed individuals in situations of improvement that benefitted both themselves and the community, permeates the whole argument of the *Wealth of Nations* and its attack on the mercantile system. And as Nathan Rosenberg observed many years ago, this strong institutional aspect of Smith's political economy constitutes the best refutation of the idea that Smith was an unconditional or doctrinaire defender of *laissez faire* and self-interest, a refutation that renders the otherwise common recourse to

The Theory of Moral Sentiments merely complementary.⁷⁶ Moreover, it is in Smith's considerations about the ideal institutional structure of society, and of agriculture in particular, that his disagreement with the Physiocrats is most evident. Both Smith and the Physiocrats saw the need to ground commerce in a flourishing agriculture, but the Physiocrats did not believe that a productive agricultural sector could establish itself without drastic political intervention. In fact, their *impôt unique* was envisioned as the indispensable transition mechanism that would transform French agriculture into a productive enterprise, emulating and rivalling the agricultural system of England.

4. Physiocracy and agricultural development

In the article that inaugurated his career as an *économiste*, the article entitled *Fermiers* (1756) in the *Encyclopédie*, François Quesnay described the imperative of returning capital to the countryside and grounding the nation's wealth on the solid basis of agricultural productivity:

The product of our soil must be the raw material of manufactures and the article of trade. Every trade not established on this foundation is insecure. The more glittering the trade of a kingdom, the more it shares this lack of security.⁷⁷

In his subsequent article entitled *Grain* (1757), Quesnay spelled out the danger of this insecurity in the 7th of his 'Maximes' of economic government: 'A nation which has little commerce in raw produce, and which is reduced to subsist by trading in industrial goods, is in a precarious and uncertain position'.⁷⁸ The positive corollary situation was expressed in the 14th maxim, which stated that a nation that 'sold the most necessary and useful goods' held an advantage in reciprocal trade, because it was 'independent of other nations'.⁷⁹ Quesnay vehemently opposed the attempt to transform France into a mercantile nation modelled on the Dutch or British example, arguing that the only viable option for a large territorial monarchy was to establish a solid agricultural foundation before engaging in manufacturing and international commerce. 'A large state should never abandon the plough and become a carrier', Quesnay wrote in the aftermath of the Seven Years' War, adding that one should

never forget that a minister of the last century [Jean-Baptiste Colbert], dazzled by the trade of the Dutch [des Hollandois] and the glitter of luxury manufactures, threw his country into such a frenzy that no one talked about anything other than trade and money, without contemplating the true employment of money or on a country's true trade.⁸⁰

One of the most disastrous consequences of Colbert's commercial policies was that, by seeking to depress wages by keeping food prices low, he had drained agriculture of resources and reduced French agriculture to a kind of profitless subsistence farming characterised by sharecroppers (*métayers*) working on land owned by largely negligent landlords, whose children now fled to the cities. In consequence, the population of France had fallen, Quesnay believed, from 24 million to 19 million in the half century since 1701.⁸¹ To rectify this and avert the looming disaster, however, Quesnay did not envision a redistributive land reform or endorse any kind of agrarian law; nor did he extol the benefits of cities and luxury such as Montesquieu had done.⁸² Instead, he argued that the only efficient way to achieve agricultural development was by replacing small-scale cultivation, *la petite culture*, with large-scale farming, *la grande culture*. While

Quesnay thus warned against emulating Britain's mercantile system, the overarching intention of his economic programme was for France to emulate England's agricultural system and implement *la grande culture* exclusively. As Quesnay explained in *Fermiers*, there were around fifty million acres of arable land in France, but only about six or seven million acres were cultivated properly by large-scale farming.⁸³ In contrast, England abounded in opulent farmers, who employed horses rather than oxen and invested in the soil themselves, without fear of either excessive or arbitrary taxation. And rather than the corn laws, which critics of Physiocracy such as François Veron de Forbonnais celebrated, it was this more efficient mode of cultivation, combined with free trade, that ensured that the average price of wheat was high and consistent from year to year.⁸⁴ And high prices were necessary for attracting capital to the countryside.

Quesnay's favourable view of English agriculture had multiple sources. Most importantly, Britain had by 1750 emerged as a significant net exporter of wheat, something which later also helped to explain the country's surprising success in the Seven Years' War.⁸⁵ In fact, Quesnay and Mirabeau's *Philosophie Rurale* (1763), published in the year of the Treaty of Paris, can be seen as inaugurating the long tradition of attributing British military success to its superior agricultural system.⁸⁶ Moreover, there was a growing awareness in France of what agronomists began to call *le nouveau système* and what subsequently has come to be known as the 'agricultural revolution' in England.⁸⁷ By the 1750s, news of this transformation was conveyed to French readers by the *Encyclopédie* and by writers such as Abbé Jean-Bernard Le Blanc and Duhamel du Monceau. While Le Blanc extolled the virtues of English agriculture in his *Lettres d'un François sur les Anglais* (1745), presenting the rich English farmer as a figure to be emulated in France, Duhamel du Monceau's *Traité de la Culture des Terres* (1750) introduced, explained and elaborated upon English agricultural practices and thus helped to establish agronomy as a science in France.⁸⁸ Another important influence on Physiocracy was undoubtedly the Irish-French political economist Richard Cantillon, whose *Éssai sur la nature du commerce en général* [c. 1730] was published posthumously in 1755.⁸⁹ The influence of Cantillon on Physiocracy is well-documented and evident not only in the shared identification of land as the source of all wealth, but also in their shared insistence that the key to agricultural productivity was the consolidation farms on the English model.⁹⁰ While the Abbé Le Blanc for instance speculated that English agriculture was productive in part because the labourers drank tea before they worked the fields (a habit that was also noticed later by Arthur Young),⁹¹ Cantillon's much more analytical approach asserted that its productivity was determined by a tripart division into landlords, farmers and labourers and the consequent largeness of farms that this division enabled. 'The larger the farm, the more prosperous the farmer will be', Cantillon wrote, adding that this 'is to be seen in England, where the farmers are normally more prosperous than in other countries where the farms are smaller'.⁹²

Cantillon's *Essai* began with an unequivocal justification of private property in land, a justification that explained not only its necessity for the development of human society but also why all human societies inexorably progressed towards a situation in which the land was owned by a small number of people. Cantillon substantiated this claim with a reflection on the history of the Roman Republic, which, although it had begun with an equal division of land among its citizens, proved unable to maintain this equality and ultimately produced – through the ordinary transactions of property – the same

extreme degree of inequality that could be 'seen today across all the states of Europe'.⁹³ For Cantillon, there was thus nothing unnatural about Europe's large landholdings, and one looks in vain for any reflection on the effects of feudalism. The same is true of Quesnay, who simply took the inequality of property for granted and instead sought to render the existing property system just and virtuous by non-redistributive means.⁹⁴ This was the purpose of the *impôt unique*.

Aside from aligning the interest of the monarch with agriculture (the aspect which Smith had criticised), the physiocratic idea of exclusively taxing land was a way to render landed property maximally productive without coercing its redistribution. In fact, by substituting the *impôt unique* for all other taxes, several benefits were imagined to follow; benefits that when combined with free trade would collectively conspire to (1) reverse the disastrous trajectory of France towards *petite culture*; (2) return French agriculture to a state of self-sufficiency, and (3) restore reciprocity to international trade. The *impôt unique* was, in other words, a fiscal alternative to an agrarian law, rendering private property in land productive and just without any redistribution.

First of all, by taxing only the landowners they would be prevented from hoarding or wasting their wealth, a wealth that Quesnay insisted owed nothing to their effort or expense. 'They produce nothing', he wrote, adding that if their revenue was not recirculated, 'the state would be depopulated through the greed of these unjust and treacherous proprietors'.⁹⁵ Secondly, the *impôt unique* was a proportional tax levied directly on the net product (*produit net*) of land. This net product was defined as the surplus that remained from the proceeds of agriculture after all expenses has been deducted.⁹⁶ As such, this net product was simply a result of the productive contribution of nature, summoned into action by cultivation. From this it followed that agriculture was uniquely productive while both manufacturing and trade were 'sterile', but it also followed that a proportional tax isolated on the net product could never be a burden on any productive activity. If the landlord tried to pass it onto his tenant farmer, the rent he would be able to demand in the market would simply be reduced proportionally.⁹⁷ And since the landlord received the net product merely by virtue of being a proprietor, he could not reasonably object to forgoing a share to the public. Although he formally paid the tax, it was essentially 'not he who pays this revenue'.⁹⁸ Thirdly, since the tax could not be avoided, the landlords would be forced to consolidate their farms and 'let their land only to rich farmers', and this alone would 'ensure the success of agriculture'.⁹⁹ Large-scale farming by rich farmers would gradually replace small-scale cultivation by peasants, and since the tenant farmers were now relieved of the burden of taxation, they would be able to channel more of their wealth into the improvement of the soil. With all land being under a contractual lease, moreover, the problem of valuing the land for taxation virtually disappeared due to the frequently revised rent-roll. The problem with small-scale cultivation was that there was 'no rent to serve as a measure'.¹⁰⁰ Aside from this, it was highly labour-intensive and therefore absorbed virtually the whole product, which meant that small-scale agriculture was practically as 'sterile' an activity as manufacturing and trade. 'Poor cultivation', Quesnay wrote,

requires a great amount of labour; but since the cultivator cannot supply the necessary expenditure his work is in vain; he succumbs, and the bourgeois imbeciles attribute his lack of success to laziness. They believe, no doubt, that it is enough to torment the earth

to compel it to yield good harvests. People delight when an unemployed poor man is told to go and work the land. It is horses and oxen, not men, that ought to work the land. And it is the herds that ought to fertilise it. Without this contribution, the land hardly recompenses the work of the cultivators.¹⁰¹

Only capital-intensive agriculture, which employed fewer men and better animals and machines, was productive in the sense that it generated a net product. And the larger the farm, the larger the net product. ‘The land employed in the cultivation of corn’, Quesnay insisted,

should be brought together, as far as possible, into large farms worked by rich farmers; for in large agricultural enterprises there is less expenditure required for the upkeep and repair of buildings, and proportionally much less cost and much more net product, than in small ones. A multiplicity of small cultivators is detrimental to the population.¹⁰²

Precisely wherein the benefits of large-scale farming lay was the subject of much discussion among the Physiocrats, and the school’s unofficial journal, the *Éphémérides du Citoyen*, dedicated several articles to the question, notably with a contribution by A. R. Jacques Turgot in June of 1767.¹⁰³ Turgot defended Quesnay against Forbonnais and the proponents of small-scale cultivation, but he emphasised that the all-important difference that made *la grande culture* productive was not so much the use of horses, such as Quesnay and Mirabeau had both suggested, but simply the fact that cultivation was managed by a class of rich farmers who acted as ‘entrepreneurs of agriculture’, precisely as if they were managing a factory.¹⁰⁴ It was simply a matter of scale and capital, just as Cantillon had argued.

Turgot had spent more than a decade as a tax collector in Limousin and Angoumois, two provinces characterised by widespread sharecropping. In his *Reflections on the Formation and Distribution of Wealth* (1766), he placed this form of cultivation at the lower end of an analytical hierarchy of efficiency, embedded within an idealised history of human progress.¹⁰⁵ For Turgot, the key to the history of civilisation was the fact that land was singularly productive and thus allowed for the gradual separation of ownership and management, a separation that was enabled by the emergence of civil government and secure property rights. And the degree of separation was for Turgot, much in contrast to Smith, the measure of the progress of civilisation.

In conformity with the natural jurisprudence of Hugo Grotius and Samuel Pufendorf, Turgot described the original community of mankind as one in which the earth originally belonged to anybody. Before the emergence of civil government, ‘one could maintain one’s ownership of a piece of land only in the way one had acquired it, and by continuing to cultivate it’.¹⁰⁶ For the longest time, therefore, land was only cultivated by its possessor. With the progress of society and the emergence of civil government, however, all land came to have a legally protected owner, and as the land became scarce, the owners of land no longer had to cultivate it themselves but could safely employ others to do it for them – others who were now without access to free land and therefore became labourers. In time, through sales and consolidations, a small group of large landlords emerged as a ‘disposable’ class, without any productive function, but a class which nonetheless was fiscally and politically useful to society. While the two industrious classes – the cultivators and the urban artisans – had to work for a living, the landlord class, being receivers of rent, was free to be employed in the service of society as a whole,

either through personal service (army, judiciary, etc.) or ‘through the payment of a part of its revenue with which the State or the Society may hire men to discharge these functions’.¹⁰⁷ However, the size of the net product (and thus the size of the tax revenue) depended significantly on the specific cultivation method that these landlords adopted. One of the worst methods was the ‘abhorrent custom’ of slavery, which required a ‘close attention’ by the landlord, thus restricting his ability to leave his estate and perform his public duties.¹⁰⁸ But slavery was in essence a product of the ancient (or modern colonial) availability of unoccupied land and would gradually disappear along with the closing of this frontier.¹⁰⁹

Once all land was appropriated, a superior method emerged in the form of sharecropping (*métayage*), which had historically replaced slavery in Europe, and which was a way to ‘induce free men to cultivate land which did not belong to them’.¹¹⁰ However, this form of cultivation, which still existed throughout the greater part of France, especially in the South, still required the landlord to make all the necessary investments himself. The best method, the only truly productive method, was to let out the land to rich farmers for an agreed period, on condition of ‘their paying him every year a fixed revenue and making all the advances required for cultivation’.¹¹¹ Only in this way were the social and economic roles properly allocated and the incentives properly aligned, from the lowest agricultural labourer to the landlord and, ultimately, the monarch. The labourers would receive wages from the farmer, the farmer would keep the profit, and the landlord would receive his rent, the size of which would be readjusted every time the lease was renewed. And out of this rent, the monarch would receive a proportional tax, the *impôt unique*.

But there was a paradox here.¹¹² As Turgot readily admitted, this method of cultivation depended on the prior existence of rich farmers, which in turn presupposed ‘a country which is already wealthy’.¹¹³ It was therefore no coincidence that the few provinces of France where large-scale farming predominated (Île-de-France, Picardy, Normandy) were all situated in the vicinity of Paris. It was at this point in the *Reflections* (article 29) that Turgot pivoted his analysis towards the rise of commerce and ‘another way of being wealthy without working or without possessing land’.¹¹⁴ As is well known, Turgot broke somewhat with the Physiocratic school in his analysis of capital as a source of wealth that could be derived from sources other than agriculture, especially in situations of imperfect competition.¹¹⁵ ‘Although the profits of industry (...) are not the gift of nature’, Turgot wrote,

it is nevertheless certain that this competition was never so extensive or so keen in all the different branches of labour as at any time to prevent a man who was more skilful, more energetic, and above all more economical than others in his personal consumption, from being able to earn a little more than was required for the subsistence of himself and his family.¹¹⁶

By allowing capital to accumulate in this way outside of agriculture, Turgot thus explained not only how an alternative path to wealth was possible, but how such an ‘unnatural’ path was historically necessary for the emergence of a truly productive agriculture in the present circumstances. In doing so, he exposed a tension that had been part of Physiocracy from the very beginning, namely, that profitable cultivation had to be preceded by ‘advances’, advances that for large-scale cultivation were far more likely to

derive from the commercial enterprises operating in restricted markets than from the 'natural' but slow progress of inferior modes of agriculture, especially from mere subsistence agriculture without enough 'appropriated capital' such as livestock or enslaved labour. Ultimately, it was the preservation of the extreme inequality of landed property, not through primogeniture and entails but through property rights and proper taxation, that provided the institutional and fiscal framework for the flow of capital and skilful entrepreneurs to the countryside, enabling the crucial separation of landlord and farmer – of ownership and management. As we shall see, however, the rise of civil government and the modern security of property was expected to have a very different effect on agriculture by Adam Smith, one that in the long run tended to undermine rather than preserve the distributional legacy of feudalism.

5. Smith and agricultural development

Like the Physiocrats, Smith was greatly impressed with the state of English agriculture and estimated that there were perhaps more 'rich and great farmers' in England 'than in any other European monarchy'.¹¹⁷ However, the reason why there existed such an abundance of farmers 'properly so called', that is, tenant farmers who 'cultivated the land with their own stock', was because the legal status of these farmers had been, since the reign of Henry VII, more or less equal to that of a proprietor. They constituted a proper yeomanry, and the many farmers who held a lease for life of 40 shillings or more were also entitled to vote for members of parliament. The 'yeomanry of England', Smith maintained, 'are rendered as secure, as independent, and as respectable as law can make them'.¹¹⁸ This favourable situation was, however, unique to England, and so too was the exceptional trust that generally existed between landlord and tenant:

There is, I believe, nowhere in Europe, except in England, any instance of the tenant building upon the land of which he had no lease, and trusting that the honour of his landlord would take no advantage of so important an improvement. Those laws and customs so favourable to the yeomanry, have perhaps contributed more to the present grandeur of England than all their boasted regulations of commerce [e.g. Corn Laws] taken together.¹¹⁹

In contrast, although Smith recognised that in France the security of leases had recently been extended from nine to twenty-seven years, he believed that 'this period [is] still too short to encourage the tenant to make the most important improvements'.¹²⁰ Smith credited this positive development to the influence of the Physiocrats, but in this regard, he was arguably mistaken. Turgot, at least, made it an important point that the landlord's 'lease was only for a few years', so that 'if his farmer had given too low a price for his land he could increase it at the expiry of the lease'.¹²¹ And the proper valuation of the *impôt unique*, as Quesnay had emphasised, depended on the market value of land, which only the re-letting of land could reveal. For Smith, in contrast, the accurate valuation of land did not necessarily depend on a lease, and it was only if the tenant was so secure that his lease approached something like *de facto* ownership that the full productive potential of the large farm system could be realised, such as it had been in England. In other words, English farmers were successful precisely because the separation between ownership and management had been rendered more or less irrelevant, for reasons that were historically peculiar to England and difficult to replicate elsewhere.

On the continent, Smith emphasised, nothing like this existed (with the possible exceptions of Holland and Berne), and the general attitude of landlords throughout Europe had predominantly been to obstruct long leases out of a (mistaken) fear of undermining the value of their property.¹²² Throughout the greater part of Europe, moreover, entails were still respected, especially in those countries ‘in which noble birth is a necessary qualification for the enjoyment either of civil or military honours’.¹²³

Most likely with Montesquieu in mind, Smith explained the historical justification of entails with reference to ‘what are called the fundamental laws of some monarchies’, but unlike Montesquieu he denied that they had any role to play in modern Europe.¹²⁴ They belonged to an anarchic feudal age without a strong civil government, in which political power and personal security depended on the size and integrity of a landed estate. In his own country of Scotland, entails had been raised to the status of statutory law with the ‘Act concerning tailzies’ of 1685, which allowed Scottish landowners to safeguard their estates against either a prodigal heir or a potential act of attainder (forfeiture).¹²⁵ In doing so, however, it effectively rendered all entailed estates inalienable and indivisible, preventing the heir from selling, dividing or mortgaging the estate, even restricting the length of leases to only a few years in duration, frequently just to one year, as Smith lamented.¹²⁶ Needless to say, the practice of entailment had had a disastrous effect on Scottish agriculture, where up to a third of all land was now regulated by an entail according to Smith’s own estimate.¹²⁷ Through his influence on the Duke of Buccleuch, whom he had tutored in the 1760s, Smith was instrumental in the passing of the Montgomery Act of 1770, whereby the restriction on leases was lifted to nineteen years, but although this ‘late act of parliament’ had ‘somewhat slackened their fetters’, entails were ‘still by much too strait’.¹²⁸ Despite the abolition of heritable jurisdictions in 1747, which had relieved the tenants of all services not stipulated in the lease, the position of the Scottish yeomanry was therefore still much inferior to that of the English, where the Common Law rule against perpetuities had prevented strict entails since the seventeenth century.¹²⁹ And unlike in England, no Scottish leaseholder, howsoever wealthy, was entitled to vote. This lack of respectability and security, which characterised not just Scotland but most of Europe, meant that the Physiocratic way of attracting capital to agriculture was unlikely to succeed, at least outside of England. ‘It can seldom happen’, Smith argued,

that a man of any considerable stock should quit the superior, in order to place himself in an inferior station. Even in the present state of Europe, therefore, little stock is likely to go from any other profession to the improvement of land in the way of farming.¹³⁰

It is interesting to note that this emphatic rejection of the Physiocratic reform programme is based on a rejection of a purely economic understanding of human behaviour, one that overlooks the motivational factor of respectability or status within a society of ranks. In theory, it might make economic sense for a rich person to become a tenant farmer and invest his wealth in the soil, but the transition from being an independent urban capitalist to being a rural farmer, who is subject to a lease, involved a loss of social (and perhaps political) standing that a higher economic return could hardly compensate for. Moreover, while the Physiocrats were infatuated with the superior efficiency of large farms and the beneficial incentives produced by their tax system, they completely ignored the powerful economic incentive generated by ownership itself. In a nutshell, this

was the criticism that Smith directed against Physiocracy, not in Book IV's discussion of the 'agricultural system', but in Book III, the oldest part of the *Wealth of Nations*. For Smith, as he there explained, a preferable and more plausible route to agricultural recovery was for the farmer to instead become a proprietor in his own right. Because even with 'all the liberty and security that law can give', and even under the best conditions of taxation, a tenant farmer was always in some measure disadvantaged by the very fact that he was a tenant and had to pay rent to a landlord. As Smith explained:

The farmer compared with the proprietor, is as a merchant who trades with borrowed money compared with one who trades with his own. The stock of both may improve, but that of the one, with only equal good conduct, must always improve more slowly than that of the other, on account of the large share of the profits which is consumed by the interest of the loan. The lands cultivated by the farmer must, in the same manner, with only equal good conduct, be improved more slowly than those cultivated by the proprietor; on account of the large share of the produce which is consumed in the rent, and which, had the farmer been proprietor, he might have employed in the further improvement of the land.¹³¹

For reasons that were intimately connected to his distinction between general and local knowledge, Smith held a highly favourable view of peasant proprietors. Just as a landlord had a more meticulous and direct interest in the management of his estate than the sovereign could ever have (*pace* Quesnay), so too had the peasant proprietor a more meticulous and direct interest in the cultivation of his soil than any landlord or tenant farmer could ever have. And taxation aside, without any rent to pay, the peasant proprietor was singularly able to channel virtually all his surplus directly back into cultivation. 'A small proprietor', Smith insisted,

who knows every part of his little territory, who views it with all the affection which property, especially small property, naturally inspires, and who upon that account takes pleasure not only in cultivating but in adorning it, is generally among all improvers the most industrious, the most intelligent, and the most successful.¹³²

Smith found the evidence for the superior productivity of peasant proprietors especially in the American colonies. Due to the abundance of cheap land, any artisan with some accumulated capital, instead of expanding his business into a manufacturing enterprise, tended to invest in a plot of uncultivated land, preferring the freedom of rural life over being dependent on either master or market. 'He feels', Smith explained, 'that a planter who cultivates his own land, and derives his necessary subsistence from the labour of his own family, is really his own master, and independent of all the world'.¹³³ Echoing Cicero's panegyrics on agriculture in *On Old Age* and *On Duties*, Smith explained that man seems to 'retain a predilection' for the simple pleasures of country life, regardless of the progress of civilisation.¹³⁴ The natural beauty and charm of the countryside promotes a certain 'tranquillity of mind' that all men find appealing, a tranquillity that is reinforced by the fact that a proprietor, contrary to the merchant or the manufacturer, has his fortune safely 'under his view and command' and therefore 'as well secured as the nature of human affairs can admit of'.¹³⁵ Due to these inherent benefits of landownership, the ordinary person would even choose to settle for a smaller revenue as a proprietor than what he otherwise could have earned by lending the purchase money at interest.¹³⁶

In this way, man's natural inclinations and America's abundant supply of land conspired to generate a mode of development that was almost exclusively agricultural and, therefore, extraordinarily rapid – so rapid indeed that the population of several colonies tended to double every twenty-five years. In contrast, the population of most of Europe tended not to double in less than five hundred years.¹³⁷ The key difference was that the most productive employment of capital, agriculture, was also the most *profitable* employment of capital in America, which meant that individuals, interested only in bettering their own condition, naturally employed their capital 'in the manner most advantageous to society'.¹³⁸ In Europe, on the other hand, this was not the case at all. To invest in land was everywhere 'a most unprofitable employment of a small capital'.¹³⁹ Any individual who aspired to become a proprietor had to purchase land at a monopoly price and therefore had to accept a comparatively smaller return on his investment than he could expect to receive if he employed his capital in either manufacturing, trade or government bonds. In consequence, the people who tended to purchase land were mostly merchants or manufacturers who, having already made their fortune in some other business, sought to render their wealth more secure for their retirement.¹⁴⁰

The reason for this unfortunate situation in Europe was twofold. By imposing a monopoly on colonial trade and by implementing various bounties and restrictions, the mercantile system had inverted the profitability of the various employments of capital and thereby distorted its allocation away from the most advantageous employments. Capital that would otherwise have flowed naturally towards agriculture was thus discouraged from doing so, leaving much of Europe's countryside fallow or woefully under-capitalised. 'In all great countries of Europe', Smith noted, 'much good land still remains uncultivated, and the greater part of what is cultivated is far from being improved to the degree of which it is capable'.¹⁴¹ Under normal circumstances, this lack of improvement in agriculture would have caused the price of land to fall proportionately.¹⁴² But the market in land in Europe was everywhere constricted, and thus unable to adjust accordingly, because of the combined force of primogeniture and entails. On top of this, the general absence of a public registry of titles, which Smith commented on in his lectures on jurisprudence, meant that a great deal of time and money was wasted on private conveyancing, 'examining the progress of writs and getting your right legally constituted'.¹⁴³ By limiting the supply of land in these ways, land always sold at a monopoly price, rendering agriculture a most unprofitable investment for anyone with a small capital. The dead hand of feudalism, in other words, prevented the invisible hand of the market from allocating land to the most productive improvers – to the detriment of not only agriculture but also the long-term security of the nation and its population.

As Smith explained at various places in the *Wealth of Nations*, the share of a nation's wealth that derived from commerce and manufacturing was always 'a very precarious and uncertain possession, till some part of it has been secured and realised in the cultivation and improvement of its lands'.¹⁴⁴ History was full of examples of commercial societies that had succumbed to the whims of trade and conflict; yet some European provinces – notably Lombardy, Tuscany and Flanders – had nevertheless been able to maintain their population, despite the demise of their mercantile cities, by successfully channelling enough wealth into the safety of the soil.¹⁴⁵ In this regard, Britain's

mercantile system was an especially fragile edifice, vulnerable to any sudden disruption of its trade relations. 'In her present condition', Smith warned,

Great Britain resembles one of those unwholesome bodies in which some of the vital parts are over-grown, and which upon that account, are liable to many dangerous disorders scarce incident to those in which all the parts are more properly proportioned.¹⁴⁶

However precarious this situation was for Britain, the premature development of manufacturing and foreign trade had nonetheless brought with it some indirect encouragements of agriculture, principally by raising the demand for subsistence goods. And due to the cost of transportation, the effect of this increased demand was largely confined to domestic producers. Moreover, the rich merchants who bought land were generally superior improvers to the often timid and ignorant country gentlemen whom they replaced, bringing with them the competitive commercial attitude with which they had built their fortune in the first place. 'To improve land with profit', Smith noted, 'requires an exact attention to small savings and small gains, of which a man born to a great fortune, even though naturally frugal, is very seldom capable'.¹⁴⁷

As a resident of Glasgow in the early 1760s, Smith had witnessed first-hand how the city's wealthy merchants had established themselves as estate owners in the surrounding countryside. 'Whoever has had the fortune to live in a mercantile town situated in an unimproved country', Smith recalled in 1776, 'must have frequently observed how much more spirited the operations of merchants were in this way, than those of mere country gentlemen'.¹⁴⁸ However, this substitution of owners was largely an isolated phenomenon, specific to Scotland's mercantile centres. As Smith commented to Lord Shelburne in 1759, in a letter commending him on the improvement of his Irish estate:

We have in Scotland some noblemen whose estates extend from east to west sea, who call themselves improvers, and are so called by their countrymen, when they cultivate two or three hundred acres round their own family seat while they allow all the rest of their country to lie waste, almost uninhabited and entirely unimproved, not worth a shilling the hundred acres, without thinking themselves answerable to God, their country and their posterity for so shameful as well as so foolish a neglect.¹⁴⁹

But although landlords were in this way often remiss in their duties towards the land, perhaps especially landlords with an ancient claim to their estate, the vanity of these great landlords had nonetheless forced many of them, as well as their ancestors, to find ways to increase the rent of their land. As is well-known, Smith's famous story of how the feudal barons (and the clergy) traded away their (temporal) power for baubles and trinkets explained how order and good government had come to be established in modern Europe. By providing an increasing supply of luxury goods, the rise of commerce had given the great proprietors a market for dispensing with their wealth, thereby diminishing their need and ability to employ a large retinue of retainers or, in the case of the clergy, their need and ability to dispense charity. In this way, their disposable surplus increased along with the number of independent artisans and manufacturers. Moreover, to increase the wealth of their estates to satisfy their boundless vanity for luxury, the landlords were forced to negotiate better conditions for their tenants, enclosing their farms and promoting them from being mere tenants-at-will to being independent farmers with a more secure contract. 'The expensive vanity of the landlord',

Smith explained, 'made him willing to accept of this condition: and hence the origin of long leases'.¹⁵⁰

In this way, Smith explained how the landlords (and the church) lost much of their former (eleemosynary) influence and became less able to sway the administration of justice in their favour.¹⁵¹ In consequence, a 'regular government was established in the country as well as in the city, nobody having sufficient power to disturb its operations in the one, any more than in the other'.¹⁵² This was a 'revolution of the greatest importance to the publick happiness', brought about by the vain folly of landlords and clergymen as well as the ordinary self-interest of merchants and manufacturers, none of whom had acted with any foresight regarding the benign political or economic effects that their actions would cause, least of all in regard to agriculture. Smith credited this insight to Hume, the 'only writer who, as far as I know, has taken notice of it'.¹⁵³ But as we have seen, Smith was not satisfied with merely long leases.¹⁵⁴ However significant the effects of good government had been so far, and howsoever efficient and independent the tenant farmers had become, the 'revolution' was incomplete insofar as the large estates remained intact, protected by primogeniture and entails from the general distribution of property, much to the detriment of further agricultural improvement. As Smith told his students in Glasgow:

Farms set out on for long lease or feus are those which tend most to the improvement of the country. Short ones, as leases at pleasure, can never induce the tenant to improve, as what he lays out will not be on his own account but on an others. But even in long leases the tenant has perhaps a third part of his income, to pay as rent. This is a great discouragement. But were all these farms converted into property, the land as being all cultivated by the masters would soon be well improved. And this would soon be the case were it not for the unnatural right of primogeniture and this of entails, supported by nothing but the vanity of families.¹⁵⁵

It is an irony that is too often overlooked that the same aristocratic vanity that according to Smith (and Hume) had undermined the power of the landowners was also responsible for halting the revolution in its tracks, providing the only remaining reason for the continued existence of primogeniture and entails.

'In the present state of Europe', Smith insisted, 'the proprietor of a single acre of land is as perfectly secure in his possession as the proprietor of a hundred acres'.¹⁵⁶ There was therefore no longer any sound reason for favouring the eldest son at the expense of his younger siblings in order to prevent an estate from being broken up.¹⁵⁷ From Hume, moreover, Smith had learned that government was based on opinion rather than property, and from this he had elaborated a psychological theory of deference that explained how political authority ultimately derived from the natural tendency of the people to sympathise with those superior to themselves, not just in birth but also in wealth, ability and age.¹⁵⁸ A wider distribution of landed property was therefore not a cause for concern about the stability of Britain's mixed constitution or its 'system of ranks'.¹⁵⁹ If anything, the proliferation of prosperous proprietors would widen the domestic tax-base and increase the public revenue, thereby improving the nation's ability to service its debt burden.¹⁶⁰

However, since nothing bolstered the vanity of a *paterfamilias* more than an ancestral estate, the law of primogeniture was 'likely to endure for many centuries'.¹⁶¹ But insofar as it were to become normal for all immediate descendants to be considered equal heirs of an estate, such as they already were in regard to moveable wealth, then the natural order

of development would begin to assert itself, given that the land would either be divided among the heirs or sold. 'So much land would come into the market', Smith predicted,

that it could no longer sell at a monopoly price. The free rent of the land would go nearer to pay the interest of the purchase money, and a small capital might be employed in purchasing land as profitably as in any other way.¹⁶²

The prospect of such a scenario was less a question of if than when. Although it might take a long time, it was a defining characteristic of commercial societies that 'very old families', families in which an estate is passed on through multiple generations, 'are very rare'.¹⁶³ Smith provided no direct reason for this in the *Wealth of Nations*, but it is evident that the economic advantages of small-scale cultivation would make the reversal of any trend towards peasant proprietors unprofitable, establishing a kind of economic entropy of landed aristocracy in a commercial society. Once a large estate had been broken up, in other words, it was unlikely to be put back together again.

From a jurisprudential point of view, moreover, entails were of a feudal or ecclesiastical origin and had been unknown to the Romans, contrary to what 'some French lawyers' argued.¹⁶⁴ Moreover, they were founded upon 'the most absurd of all suppositions', namely, that 'every successive generation of men have not an equal right to the earth, and to all that it possesses'.¹⁶⁵ In his lectures on jurisprudence, Smith explained the emergence of entails as an unnatural and self-undermining extension of the right of testamentary succession, which had been enabled by a general ignorance about precisely how far the right of the dead might extend and, moreover, by a general confusion about the true foundation of the right of testamentary succession.¹⁶⁶ This right was clearly a modern development, the result of a significant refinement of human society and sensibility, but its foundation had so far eluded jurisprudential thinkers. Smith had no time for Pufendorf's 'whimsical' idea that it was founded on the immortality of the soul; Instead, and in line with his theory of moral sentiments, he suggested that it had nothing to do with the will of the dead themselves but relied on the sympathy that one had *for* the dead, that is, on the piety that people naturally exhibited towards a deceased person and their final wishes, especially the people for whom that person had felt affection whilst being alive. 'We enter', Smith argued, 'into his dead body, and conceive what our living souls would feel if they were joined with his body, and how much we would be distressed to see our last injunctions not performed'.¹⁶⁷ Based on this, Smith laid down the rule that the 'utmost extent of entails' was 'to those who are alive at the person's death, for he can have no affection to those who are unborn'.¹⁶⁸ While this rule clearly disallowed the Scottish 'tailzie', and indeed any other perpetual entail, it is an open question whether he thought it also ruled out the mode of inheritance adopted in England after the Restoration, where the more complex device known as the strict (family) settlement had emerged as the preferred legal tool with which the English aristocracy perpetuated itself, cleverly circumventing the rule against perpetuities without violating its letter.¹⁶⁹ 'The common law of England', Smith commented somewhat cryptically in the *Wealth of Nations*, 'is said to abhor perpetuities, and they [entails] are accordingly more restricted there than in any other European monarchy'. Ostensibly with the strict settlement in mind, he then added: 'though even England is not altogether without them'.¹⁷⁰

Nevertheless, the operative word of Smith's argument was affection, and the way in which he presented the future of testamentary succession was as a struggle between the vanity of a landlord and the affection of a father. Or more precisely, the struggle was between the piety that a son felt towards his elders, supported by a shared vanity for their family name, and the parental affection he naturally felt towards his own children. From his former teacher Francis Hutcheson, Smith had adopted the idea that primogeniture and entails were unnatural and that it made sense to speak of a 'natural law of succession', condoned as such by Hutcheson's moral sense as well as by Smith's impartial spectator.¹⁷¹ The natural motivation for all acquisition of wealth, Hutcheson had taught, was to benefit oneself and those one love in the degree to which nature bids one to do so – hence the naturalness of equal inheritance.¹⁷² Smith adopted this idea by arguing that, when land was considered a means of subsistence and enjoyment only, as opposed to a means to security, the natural thing to do was to divide one's estate equally among all children, the wellbeing of whom 'may be supposed equally dear to the father'.¹⁷³ The naturalness of this 'natural law of succession' was further evidenced by the fact that it had been practiced by the Romans, who had 'made no more distinction between elder and younger, between male and female, in the inheritance of lands, than we do in the distribution of moveables'.¹⁷⁴

Primogeniture was primarily a custom, a longstanding yet unnatural custom, enforced by law only in cases of intestacy. In the case of entailed estates, it was enforced as the will of the dead, which only legislation could silence. But in the case of any freehold, of any land not held in entailment, primogeniture was a choice made by the living father, whose equal affection for all his children could be expected to one day prevail over any lingering and vain preference for a single heir, kept alive by an inflated sense of piety towards an ancestral estate.

In the *Theory of Moral Sentiments*, Smith had explained that parental affection, as an innate expression of human sociability, was naturally much stronger than filial piety. This difference in strength bore the imprint of the wisdom of nature, Smith argued, because it ensured that the utter helplessness of a human child was properly matched by a willingness in the child's parents to provide the necessary care and affection, always privileging the wellbeing of their progeny over their ancestry and parentage.

Nature, for the wisest purposes, has rendered, in most men, perhaps in all men, parental tenderness a much stronger affection than filial piety. The continuance and propagation of the species depend altogether upon the former, and not upon the latter.¹⁷⁵

As such, the natural difference between parental affection and filial piety was simply a special and domestic effect of Smith's larger theory of human sociability, which like Pufendorf's theory of *sociabilitas* took as its starting point the natural helplessness of mankind as compared with other animals.¹⁷⁶ It was this theory that Smith had employed in the *Wealth of Nations* when he located the origin of the division of labour in the human 'propensity to truck, barter and exchange one thing for another', a propensity that was 'natural' only in the sense that it was rendered necessary by the inability of any individual human ever to achieve the same independence as an animal in procuring subsistence. Mankind 'has almost constant occasion for the help of his brethren', Smith emphasised, adding that 'it is in vain for him to expect it from their benevolence only'.¹⁷⁷ From the butcher, the brewer and the baker, we could expect to receive our dinner only

by appealing to their self-interest, that is, by engaging in a mutually advantageous exchange with them. This fundamental need for the assistance of others, as expressed by this propensity to exchange, was what gave rise to the division of labour, according to Smith, a division of labour that ultimately gave rise to a commercial society, in which everyone 'becomes in some measure a merchant'.¹⁷⁸ Within the family, however, the natural mode of assistance was of course not self-interest and exchange but one of benevolence and affection, especially from a parent to a child, yet it was only with the rise of commercial society that these natural affections became more pronounced and isolated on the immediate family.

In the sixth edition of the *Theory of Moral Sentiments*, completed towards the end of 1789 and published only months before his death in 1790, Smith added a whole new chapter on the 'Character of Virtue', which contained a discussion of the 'Order in which Individuals are recommended by Nature to our care and attention'.¹⁷⁹ Notably, a key purpose of this discussion was to explain in more detail what he had only hinted at in the *Wealth of Nations*, namely, why the rise of commercial society was having such a profound effect on family relations. Natural affection was, Smith argued, 'more the effect of the moral than of the supposed physical connection between a parent and the child'.¹⁸⁰ Indeed, affection was 'in reality nothing but habitual sympathy'.¹⁸¹ In a situation where there was no security of life or property, such as in pastoral countries or in feudal times, different branches of the same extended family generally chose to live in close proximity to each other, a decision heavily informed by their need to assist one another in their common defence.¹⁸² Because of this, they would have 'more intercourse with each other than with the members of any other tribe'. However, with the emergence of order and good government, as engendered indirectly by the rise of commerce, members of the extended family soon became like strangers to each other and lost the habitual connection that gave rise to a sense of affection between them. 'In commercial countries', Smith explained,

where the authority of law is always perfectly sufficient to protect the meanest man in the state, the descendants of the same family, having no such motive for keeping together, naturally separate and disperse, as interest or inclination may direct. They soon cease to be of importance to one another; and, in a few generations, not only lose all care about one another, but all remembrance of their common origin, and of the connection which took place among their ancestors.¹⁸³

In this way, commerce and good government conspired with human nature to generate the modern nuclear family, whose dominant principle of contiguity was parental affection rather than filial piety or, indeed, physical protection. Against this background, the effort often made by great lords to establish and exhibit their noble ancestry, a source of pride often masquerading as family affection, appeared as nothing but 'the most frivolous and childish of all vanities', not least when juxtaposed to their equally frequent lack of affection for even close relatives who happened to be of more humble means than themselves.¹⁸⁴ But although no such 'extraordinary extension' of natural affection could be expected from great lords such as these, an isolated increase of affection could be expected to take hold, in the relationship to their children, especially if the common English (and French) practice of sending children away to distant boarding-schools or colleges was also abandoned in favour of what Smith called 'domestic

education', which included public schools that allowed the student to return home every day. 'Domestic education is the institution of nature; public education, the contrivance of man'.¹⁸⁵ Such a change in proximity would improve both 'domestic morals' and 'domestic happiness', for the good of the parents as well as the children.

One specific benefit of this domestic education, one suspects, was that a father, by being physically closer to his children, would become morally closer to them as well, and through habitual sympathy he would develop a more affectionate relationship with them, one that made less distinction between them and, perhaps, made them equally worthy of his inheritance too. As Smith commented, also in 1789, the 'great secret of education is to direct vanity to its proper objects'.¹⁸⁶ In this regard, the father had as much to learn as the child, and nobody was a better teacher than nature.

As is well-known, the sixth edition of the *Theory of Moral Sentiments* also provided Smith with a timely opportunity to issue a final warning against those speculative politicians and projectors who in their enthusiasm for change inevitably fall prey to the hubris of the 'man of system', whose fatal flaw is to be 'so enamoured with the supposed beauty of his own ideal plan of government, that he cannot suffer the smallest deviation from any part of it'.¹⁸⁷ Against this dangerous 'man of system', who looked upon society as a giant chess-board, Smith celebrated the 'man of public spirit', who out of humanity and genuine patriotism would choose always to moderate what could otherwise only be abolished with violence, and who would refrain from imposing through force even the best system of laws.¹⁸⁸ As István Hont argued, this cautious attitude to politics should not be explained as an aging man's reaction to the events unfolding in France; it was a consistent aspect of Smith's politics, predating even the *Theory of Moral Sentiments*, that he was opposed to all radical reform measures, including any radical reform that sought to implement the 'system of natural liberty' that he himself advocated and hoped would come to replace the mercantile system.¹⁸⁹ This was the key political difference between Smith and the Physiocrats, Hont argued, a difference in attitude that was influenced by Smith's political economy and its ability to identify a silver-lining in the mercantile system, namely, the 'unnatural and retrograde' development whereby agriculture was improved through the interplay of aristocratic vanity and economic demand.

In response to this, however, we can now say that Smith's expectations regarding agriculture were much more complex than this. First of all, his arguments about agricultural development, both under retrograde and natural conditions, relied on the assumption that the cost of transportation would form a high barrier to international competition in foodstuffs, safeguarding the domestic producer and the national supply of food, even in a situation of free international trade. Indeed, Smith's defence of free trade was arguably conditional on the improbability of a rich country like Britain becoming dependent on foreign trade for a substantial part of its food supply. Second, rather than saying with Hont that Smith simply placed his trust in the unnatural, demand-driven development of agriculture and thus in some sense sided with Colbert and commerce against the forced overcorrection of the Physiocrats, we might more accurately say that he sided with nature and with the living human heart against the dead hand of both custom and system. Human nature was preferable to Quesnay's 'rule of nature', and as Smith inveighed against this 'speculative physician', the political body, just like the human body, could sometimes improve without recourse to a doctor, whose medicine might indeed make things worse. The 'wisdom of nature has fortunately made ample

provision for remedying many of the bad effects of the folly and injustice of man'.¹⁹⁰ Like the natural desire to better one's own condition, which no amount of mercantile regulation could ever completely quash, the natural affections of a father could not fail to eventually impress upon his will now that the feudal conditions that made it necessary to suppress them had entirely disappeared.

Recognising this latent, redistributive potential of parental affection might also add additional clarity to why Smith ultimately remained less pessimistic than Hume about Britain's future and the fate of Europe's indebted monarchies more generally.¹⁹¹ Indeed, it might cause us to reconsider several aspects of the Hume-Smith relationship, most obviously in relation to the question of agricultural improvement. It is worth noticing, for example, that none of Hume's essays engages with the much-debated problem of entails in Scotland, a silence that stands in sharp contrast to Smith's words and actions, and which might be indicative of a difference of opinion between the two friends regarding the importance of breaking up large estates and, moreover, the economic superiority of the peasant proprietor.¹⁹² As Tom Pye has shown, Hume's *History of England* departed in important ways from the standard eighteenth-century Whig narrative about the origin of English liberty, namely, by arguing that the power of the feudal barons had been undermined not through a division and sale of their lands but through a change in their manners, with the lure of luxury consumption transforming them into profiteering landlords intent on the enclosure and consolidation of farms.¹⁹³ Yet while Smith had lauded Hume for noticing that commerce had in this way indirectly improved agriculture and established liberty and good government, Smith also perceived that there was much more to the story; that the revolution set in motion by aristocratic vanity was incomplete and would be continued by other and more natural affections, gradually emancipating the soil throughout Europe from its quasi-feudal confines, thereby rendering the wealth of nations more secure and therefore the trade between them less jealous.

Notes

1. Smith, *An Inquiry into the Nature and Causes of the Wealth of Nations* [1776] (Henceforth abbreviated WN), III.i.8–9.
2. WN, IV.vii.b.2.
3. For two influential approaches to the problem, see Robert A. Blecker, "The 'Unnatural and Retrograde Order'"; and Sagar, *Adam Smith Reconsidered*.
4. Leslie, "The Political Economy of Adam Smith," 559.
5. Pascal, "Property and Society"; Meek, "Smith, Turgot and the 'Four Stages' Theory"; Skinner, "Adam Smith."
6. Salter, "Adam Smith on Feudalism."
7. WN, IV.1; Donald Winch, "Adam Smith's 'Enduring Particular Result'."
8. On this point, see especially Forbes, "Scientific Whiggism: Adam Smith and John Millar"; Forbes, "Sceptical Whiggism, Commerce, and Liberty."
9. Haakonssen, *The Science of the Legislator*, 188.
10. Hont, "Adam Smith and the Political Economy," 356.
11. *Ibid.*, 373.
12. Hont and Ignatieff, "Needs and Justice in the *Wealth of Nations*"; On the history of the concept of 'negative community', see Hont, *Political Economy from Pufendorf to Marx*.
13. Hont, "Adam Smith and the Political Economy," 377.
14. Hont, "Jealousy of Trade: An Introduction," *Jealousy of Trade*, 68–9.
15. Wrigley, *Energy and the English Industrial Revolution*.

16. Adam Smith, "Early Draft of Part of *The Wealth of Nations*," in *Lectures on Jurisprudence* (Henceforth abbreviated *LJ*), 11–12.
17. *WN*, I.viii.
18. *WN*, "Introduction and Plan of the Work," 4.
19. *WN*, I.i.11. See also *LJ*(A), vi.26–7; *LJ*(B), 212.
20. *WN*, IV.i.
21. Smith, *The Theory of Moral Sentiments* [1759] (Henceforth abbreviated *TMS*), IV.I.10.
22. *WN*, I.i.4.
23. *WN*, II.v.12.e.
24. *WN*, I.x.c.23.
25. *WN*, I.i.4.
26. Rassekh, "Comparative Advantage in Smith's 'Wealth of Nations,'" 65.
27. *WN*, I.xi.e.38.
28. *Ibid.*
29. This point has also been emphasised by Myint, "Adam Smith's Theory of International Trade," 239.
30. *WN*, IV.ii.20.
31. *WN*, I.iii.; Smith's idea that the division of labour was limited by the extent of the market seemingly post-dates his *Early Draft of the Wealth of Nations* and was probably an idea that only occurred to him as he was lecturing in the spring of 1863. See Meek and Skinner, "The Development of Adam Smith's Ideas."
32. *WN*, IV.ii.17 & IV.ii.19.
33. *WN*, IV.ii.16.
34. *WN*, III.iii.16.
35. *WN*, III.iii.20.
36. Smith had traversed much of this southward route when he left Glasgow for Oxford in 1740. Many years later, in 1789, he supposedly told a friend how he had been struck by the superiority of English agriculture from the moment he reached Carlisle, and when he arrived at Balliol College and was served a choice cut of beef, he allegedly fell into a deep stupor. See Clayden, *The Early Life of Samuel Rogers*, 93; see also Rae, *Life of Adam Smith*, 18.
37. *WN*, II.v.12.
38. *WN*, II.v.12.
39. *WN*, II.v.12.
40. For a different interpretation see Keith Tribe, "Reading Trade in the *Wealth of Nations*," 64.
41. *WN*, I.xi.a.5.
42. *WN*, I.xi.a.2. & I.xi.a.6.
43. *WN*, I.xi.a.8.
44. *WN*, I.xi.b.4.
45. *WN*, I.iv.
46. *WN*, II.iii.9.
47. *WN*, I.xi.p.8.
48. *Ibid.*
49. *WN*, V.ii.c.2. & V.iii.70.
50. *WN*, V.ii.b.3.
51. *WN*, V.ii.c.18.
52. *WN*, V.ii.c.15. & V.ii.c.18.
53. *WN*, V.ii.c.15.
54. *WN*, V.ii.c.20. & V.iii.70.
55. *LJ*(B), 312. See also *LJ*(A), i.5 & *WN*, V.ii.f.3.
56. *WN*, V.ii.e.9.
57. *WN*, V.ii.e.10.
58. *WN*, V.ii.a.16.
59. *WN*, V.ii.a.13. & IV.vii.c.102.
60. *WN*, V.ii.a.16.

61. WN, V.ii.c.18.
62. WN, V.ii.c.18.
63. WN, V.iii.68. & V.iii.92.
64. WN, V.iii.88.
65. WN, V.iii.77.
66. WN, V.iii.
67. WN, V.iii.92.
68. On this expectation, see Stafford, *The Case of Ireland*, 50.
69. TMS, VI.ii.17; Haakonssen, *Science of the Legislator*, 79–80.
70. WN, IV.vii.c.103.
71. For Smith's hostility towards joint stock companies, see WN, V.i.e.18. For his discussion of educational endowments, see WN, V.i.f.5–9. Smith's own Oxford experience in the 1740s provided ample evidence of this effect, leading him to comment that most teachers at that institution had for many years 'given up altogether even the pretence of teaching'. WN, V.i.f.8.
72. WN, IV.vii.c.61.
73. WN, III.ii.9.
74. WN, I.x.b.8.
75. WN, I.x.c.14–16.
76. Rosenberg, "Some Institutional Aspects," 559.
77. Quesnay, "Farmers," 23.
78. Quesnay, "Grain," 827 (my translation).
79. Ibid., 828 (my translation).
80. Quesnay, "Maximes générales du gouvernement," 137 (my translation).
81. Quesnay, "Hommes," 7.
82. Montesquieu, *The Spirit of the Laws*, bk. 23, ch. 15.
83. Quesnay, "Farmers," 10.
84. Ibid., 13. On Forbonnais' support for the English corn laws as well as his rejection of *la grande culture*, see Sonenscher, *Before the Deluge*, 179–89.
85. On Britain as a net exporter, see Boyd Hilton, *A Mad, Bad, and Dangerous People?*, 5.
86. Quesnay and Marquis de Mirabeau, *Philosophie Rurale*. This argument has been employed to explain Britain's success in both the Napoleonic Wars and the Second World War. See Stafford, *The Case of Ireland*, 211; Knight, *Britain Against Napoleon*, 120 & ch. 6; Tooze, *Wages of Destruction*, 140; Edgerton, *The Rise and Fall of the British Nation*.
87. Chambers and Mingay, *The Agricultural Revolution*. For a recent article on the historiography of the 'agricultural revolution', see Tribe, "The 'English Model' of Agrarian Development."
88. Le Blanc, *Lettres d'un François sur les Anglais*; du Monceau, *Trait de la culture*; Bourde, *The Influence of England on French*, ch. 1.
89. Cantillon, *Essai sur la Nature du Commerce en Général*.
90. On Cantillon's influence, see Antoin E. Murphy, "Introduction," in Cantillon, *Essay on the Nature of Trade in General*, xv–xix; See also Bertholet, "The Intellectual Origins of Mirabeau."
91. Bourde, *The Influence of England on French*, 20; Young, *A Six Weeks' Tour*, 210.
92. Cantillon, *Essay on the Nature of Trade in General*, 58.
93. Ibid., 4.
94. Sonenscher, *Before the Deluge*, 204.
95. Quesnay, "Taxation," 104.
96. Ibid.
97. Quesnay, "Notes Sur Les Maximes," 129 (my translation).
98. Ibid., 124 (my translation).
99. Ibid., 130 (my translation).
100. Ibid., 129 (my translation).
101. Quesnay, "Grain," 829 (my translation).

102. Ibid., 835 (my translation).
103. Turgot, “Des Caractères de la grande & de la petite Culture.”
104. Turgot, *Reflections on the Formation*, 153 (LXII); on this point, see also Goutte and Klotz, “Turgot: A Critic of Physiocracy?” 504.
105. Turgot summarised this hierarchy in article 28 of his *Reflections on the Formation*.
106. Turgot, *Reflections on the Formation*, 124 (IX).
107. Ibid., 127 (XV).
108. Ibid., 129 (XXI).
109. Ibid., 130 (XXII).
110. Ibid., 132 (XXV).
111. Ibid., 133 (XXVI).
112. Smith indeed noted that the Physiocrats were fond of paradoxes. See WN, IV.ix.38.
113. Turgot, *Reflections on the Formation*, 133 (XXVII).
114. Ibid., 134 (XXIX).
115. Goutte and Klotz, “Turgot: A Critic.”
116. Turgot, *Reflections on the Formation*, 146 (L).
117. WN, III.ii.20.
118. WN, III.iv.20.
119. WN, III.ii.14.
120. WN, III.ii.16. & IV.ix.38.
121. Turgot, *Reflections on the Formation*, 133 (XXVI).
122. WN, III.ii.16.
123. WN, III.ii.6.
124. Ibid.
125. *Act concerning tailzies* [Act of the Scottish Parliament, 1 James VII. c. 22., 1685]; see also Sandford, *A Treatise on the History*; Simpson, “Entails and Perpetuities.”
126. WN, III.ii.15.
127. WN, III.ii.6.
128. WN, III.ii.15. For Smith’s involvement in this reform of entails, see Bonnyman, *The Third Duke of Buccleuch*, ch. 3.
129. Haskins, “Extending the Grasp of the Dead Hand.”
130. WN, III.ii.20.
131. WN, III.ii.20.
132. WN, III.iv.19.
133. WN, III.i.5.
134. WN, III.i.3; Cicero, *De Senectute*, xv; *De Officiis*, i.42.
135. WN, III.i.3.
136. WN, II.iv.17.
137. WN, III.iv.19.
138. WN, II.v.37.
139. WN, III.iv.19.
140. WN, III.iv.
141. WN, II.v.37.
142. WN, IV.vii.c.58.
143. LJ(B), 295.
144. WN, III.iv.24.
145. Ibid.
146. WN, IV, vii.c.43.
147. WN, III.ii.7.
148. WN, III.iv.3.
149. Smith to Lord Shelburne, 4 April 1759, in Adam Smith, *Correspondence of Adam Smith*, 32.
150. WN, III.iv.13.
151. Smith story about the clergy’s loss of power is found in WN, V.i.g.25.
152. WN, III.iv.15.

153. WN, III.iv.4. On Hume's thoughts in this regard, see Pye, "The Scottish Enlightenment."
154. Nor was Smith persuaded by Hume's argument in favour of an established church, bribed into indolence by secure salaries derived from tithes and endowments in land. The entire dissolution and disendowment of the Anglican Church was a prospect he was keen to contemplate, again with inspiration drawn from America, more precisely from Pennsylvania, where no religious sect was favoured above any other, for the benefit of mutual toleration and moderation. WN, V.i.g.8.
155. *LJ(A)*, i.167-ii.1.
156. WN, III.ii.4.
157. WN, III.i.4.
158. WN, V.i.b.4-11.
159. *TMS*, I.iii.2.3.
160. WN, V.ii.f.6.
161. WN, III.ii.4.
162. WN, III.iv.19.
163. WN, III.iv.16; This characteristic goes unrecognised in Paul Sagar's perhaps overly analytical definition of Smith's notion of commercial society in Sagar, *Adam Smith Reconsidered*.
164. WN, III.ii.5; It is unclear which French lawyers Smith had in mind, but his underlying point, as explained in his lectures on jurisprudence (*LJ(A)*, i.154; *LJ(B)*, 167), was that the Roman fideicommissum bore no relation to the English or Scottish entail. The supposed Roman origin of the practice of entailment was a historical aspect of the political debate about entails, an aspect that was subsequently continued by John Ramsey McCulloch in the nineteenth century. See McCulloch, "Considerations on the Law of Entail," 355; McCulloch, *A Treatise on the Succession*, 44-5.
165. WN, III.ii.6.
166. *LJ(B)*, 169; *LJ(A)*, i.162-3.
167. *LJ(B)*, 165.
168. *LJ(B)*, 168.
169. On the strict settlement, see Eileen Spring, "The Settlement of Land"; Spring, "The Strict Settlement"; Habakkuk, *Marriage, Debt, and the Estates System*.
170. WN, III.ii.6. In his lectures on jurisprudence, Smith commented briefly on the original entail in England, stating that it was an entail by 'tenure' and not by 'will'. *LJ(B)*, 168.
171. On Hutcheson's rejection of primogeniture and entails, see Hutcheson, *Short Introduction to Moral Philosophy*, 154; See also Horne, *Property Rights and Poverty*, 82.
172. Hutcheson, *Short Introduction to Moral Philosophy*, 153.
173. WN, III.ii.3; Compare this with Hutcheson, *Short Introduction to Moral Philosophy*, 154.
174. WN, III.ii.3.
175. *TMS*, III.3.13.
176. On Pufendorf's theory of sociability, see Palladini, "Pufendorf Disciple of Hobbes"; See also Hont, *Political Economy from Pufendorf to Marx*.
177. WN, I.ii.2.
178. WN, IV.i.
179. *TMS*, VI.ii.I.1.
180. *TMS*, VI.ii.14.
181. *TMS*, VI.ii.I.7.
182. *TMS*, VI.ii.I.12.
183. *TMS*, VI.ii.I.13.
184. *Ibid*.
185. *TMS*, VI.ii.10.
186. *TMS*, VI.iii.46.
187. *TMS*, VI.ii.2.18.
188. *TMS*, VI.ii.2.16.
189. WN, IV.ix.51.
190. WN, IV.ix.28.

191. On Hume's pessimism, see Whatmore, *The End of Enlightenment*, ch. 2; See also Winch, *Adam Smith's Politics*, 138.
192. On the Scottish debate about entails, see Lieberman, "The Legal Needs of a Commercial Society," 203–34; Lieberman, *The Province of Legislation Determined*, ch. 7: "Kames, Legal History and Law Reform," 144–58.
193. Pye, "The Scottish Enlightenment," 758.

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